Tanker Shipping

Bi-Weekly Industry Report

March 25, 2025

- **Positive Momentum Drives VLCC Spot Rates Higher as Tonnage Tightens –** A wave of **positive momentum** swept through the VLCC market in the Arabian Gulf, fueled by a **surge** in chartering **activity** for early April loadings. This spike in demand temporarily **tightened available tonnage**, allowing owners to push for higher rates. The current direction of the freight market has left **owners optimistic**, while charterers have adopted a wait-and-see approach, holding off on fresh inquiries to avoid contributing further to upward rate pressure. In **West Africa**, the VLCC market remained relatively subdued but showed signs of **bullish sentiment**, inspired by gains in the Arabian Gulf and a modest recovery in U.S. Gulf exports. Some owners opted to keep their vessels in the East, driven by uncertainty surrounding new U.S. tariffs and **potential increases in port charges**—factors that **diminished** the appeal of **repositioning** to the Atlantic basin. Looking ahead, the VLCC market is expected to remain sensitive to several macroeconomic and geopolitical drivers. Anticipated growth in China's crude oil demand and restocking could tighten tonnage supply, potentially supporting further rate increases. **Iraq's planned production** hike could also influence freight dynamics, depending on how this additional output is geographically distributed. Overall, **rising Chinese demand** and cautious owner strategies may continue to tighten supply, while in West Africa, a potential global supply surplus could be offset by regional dynamics and restored market confidence.

- **Will the Saudis Pull Another 2015? –** With the new **Trump** administration prioritizing efforts to **lower oil** prices and thereby ease inflation from its currently elevated levels, OPEC+, and specifically Saudi Arabia, is in a **strategic position** to **reclaim market share** after an extended period of ceding ground to Western-based producers such as the United States, Guyana, Brazil, and Canada. While certain OPEC+ members continue to exceed production quotas and global oil demand projections indicate modest growth in 2025 (primarily driven by gas-derived products rather than crude oil) it is the **core OPEC producers** that stand to **lose** the most under the current market dynamics. Given the tacit approval from the new U.S. administration to drive oil prices lower, the likelihood of a scenario similar to 2015 should not be overlooked. However, this time, the **approach** may be more **discreet**, with planned increases in production targets serving as a **strategic façade**. Overall, we anticipate that Saudi Arabia will take the lead in this initiative, recognizing that its 260+ billion barrels of reserves represent its most **valuable asset**. Safeguarding these reserves and related revenues for the long term may necessitate accepting short-term price pressures, with the goal of pressuring production capacity among higher-cost Western producers.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and a slower fleet growth owing to a relatively low orderbook.

Short-term Indicators	
Momentum:	**Negative**
Sentiment:	**Neutral**
Fundamentals:	**Positive**
Breakwave Tanker Futures Index:	**1174**
30D: -10.7%	↓
YTD: 8.5%	↑
YOY: -12.8%	↓
VLCC Middle East-Asia Spot Rates:	**12.55**
30D: -2.1%	↓
YTD: 39.8%	↑
YOY: -18.3%	↓

Reuters:	BWET.K
Bloomberg:	BWET US
Exchange:	NYSE

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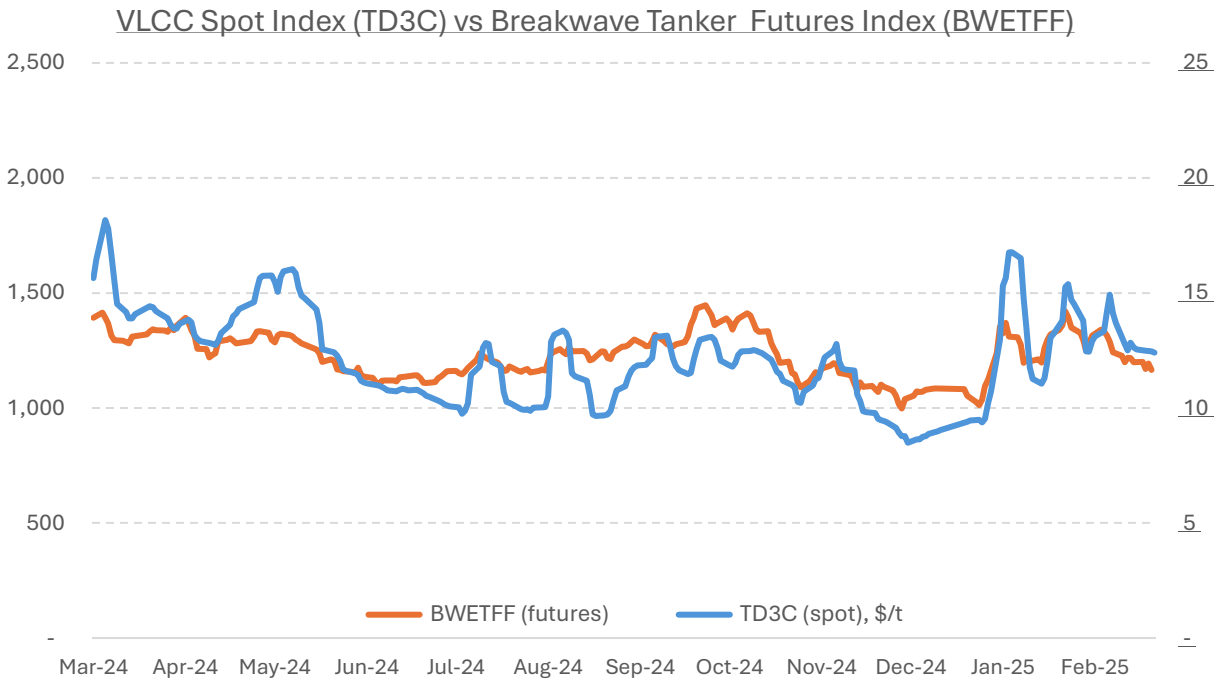

The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.

Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	104,595 kbpd	2.1%
Oil Supply, OPEC	27,350 kbpd	1.9%
Oil Supply, non-OPEC	68,625 kbpd	1.7%
OECD Total Crude Oil Stocks	1001.7 MMbls	-3.7%
US Crude Oil Exports	49.3 MMbls	0.8%
China Oil Imports	637.4 MMbls	-2.3%
Global Crude Oil Floating Storage	67.4 MMbls	-8.1%

Supply		
Tanker Fleet	694.7 mdwt	0.5%

Freight Rates		
VLCC Middle East-Asia, USD/ton	12.62	-13.7%
Suezmax West Africa-Europe, USD/ton	16.62	-18.5%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

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